

- Holidays, weddings and cars.

FHOG

The first home owner grant scheme, gifted by governments to assist first-time buyers to purchase a property. Terms and conditions differ between states and territories.

Gross income

Your salary before tax is deducted (it does not include your superannuation).

Household debt

This includes car loans, credit cards and personal loans and, if you went to university, your HECS-HELP debt. The Australian Bureau of Statistics, the Reserve Bank and the Australian Prudential Regulation Authority keep track of what type of debt and how much debt is owed to financial institutions and governments.

Lenders' mortgage insurance (LMI)

Not to be confused with mortgage insurance, which protects the buyer. This policy is a safety net for the lender (a bank or other creditor) in the event you default on your mortgage. If you have a deposit of less than 20 per cent of the price of the property you want to purchase, the mortgage will attract this fee.

Loan-to-value ratio (LVR)

An assessment, by a lender, that impacts your borrowing capacity. LVR is the amount of the loan divided by the value of the property, multiplied by 100.

The lower the LVR – 80 per cent is considered the threshold, with anything above that branded as a higher risk – the less it costs you to get a home loan. The main saving you will make is not having to pay lenders' mortgage insurance (LMI).

For example, if you want to borrow \$450,000 for a home worth \$500,000, against a \$50,000 deposit, your mortgage has an LVR of 90 per